Policy Statement

Jathnier Corporation is committed to and conducts its business activities lawfully and in a manner that is consistent with its compliance obligations to the Republic of the Philippines.

The Legal and Regulatory Compliance Policy (Compliance Policy) establishes the overarching principles and commitment to action for Jathnier Corporation with respect to achieving compliance by:

- identifying a clear compliance framework within which Jathnier operates;
- promoting a consistent, rigorous and comprehensive approach to compliance throughout Jathnier;
- developing and maintaining practices that facilitate and monitor compliance within Jathnier;
- seeking to ensure standards of good corporate governance, ethics and community expectations; and
- engendering a culture of compliance where every person within Jathnier accepts personal responsibility for compliance and acts ethically and with integrity.

Scope

This policy applies to Jathnier Corporation's Executives and employees, and to all contractors working for or at Jathnier (our people).

Jathnier Corporation's legal and regulatory compliance obligations include:

- Tax & legal obligations;
- contracts;
- permits, licences and other forms of authorisation;
- common law; (Labor, Civil, Criminal & Corporate Laws)
- equitable obligations; and
- relevant industry codes and compulsory standards; (5'S, FDA,OSH, BOSH, HCCP, GMP...other appicable standards)

External obligations, including:

- regulatory policies and codes; and
- local government requirements; and
- Jathnier policies, procedures and guidelines.

Detailed operational procedures (process flows) support Jathnier's legal and regulatory compliance obligations.

Policy Overview

This Compliance Policy is aligned with Jathnier Corporation's strategic objectives as articulated within Jathnier's Corporate Strategic Plan, Corporate Vision, Mission, Core Values Statements and Corporate Code of Discipline.

Jathnier Corporation's Compliance Policy is based on the best practice standards and principles outlined on the SEC Compliance programs of the Republic of the Philippines.

Jathnier Corporation recognises that there are (4) four elements for an effective compliance program:

1. Commitment – Jathnier's commitment to, and the establishment of, a compliance program;
2. Implementation – Jathnier's implementation of a compliance program, including ongoing education and maintenance;
3. Monitoring and Measuring – reporting and supervision of the compliance program; and
4. Continual Improvement – regular review and continual improvement of the compliance program.

These elements are supported by (11) eleven compliance principles. Jathnier Corporation is to comply with the following principles:

1. encourages and supports an effective Board and Senior Management organisational structure which endorses an ethical and positive compliance culture within Jathnier;
2. maintains an appropriate compliance program which identifies, manages, reports, reviews, monitors and measures compliance obligations and compliance performance;
3. ensures clear accountability for and ownership of the compliance program, obligations and any compliance issues within Jathnier;
4. regularly reports to the CEO, Board, and the Audit and Risk Management Department (ARMD) (as required);
5. reviews its procedures to ensure compliance obligations are integrated in day-to-day operations of Jathnier;
6. provides necessary resources to enable our people to understand their own personal accountability in respect of compliance and to be able to effectively carry out their responsibilities;
7. conducts appropriate pre-employment screening of potential employees and contractors;
8. takes very seriously any failure by an individual to comply with Jathnier's compliance obligations. A number of consequences may flow from an individuals actions, including, in serious matters, termination of employment or contract;
9. incorporates compliance management into business plans and risk management processes;
10. provides education and training as part of the implementation of the compliance program, detailing individual responsibilities, reporting and communication methods; and
11. regularly reviews and implements improvements to the compliance program.

I. Compliance Program

The Jathnier's compliance program includes:

- a consistent and effective process for identification, assessment, management, reporting, review and monitoring of compliance obligations and issues;
- a centralised register of compliance obligations actively managed by the General Manager;
- a calendar of Jathnier's external corporate lodgements;
- periodic compliance certifications;
- a mechanism to aid with identification, documentation, investigation, actioning and reporting on compliance issues;
- where appropriate, integration with the Corporate Risk Evaluation matrix;
- a Corporate wide training program, including induction training; and
- cyclical reviews of content and the program to continuously identify improvement opportunities.

II. Compliance Reporting

The compliance program enables regular efficient and effective reporting to Executive Management, the ARMD and the Board regarding Jathnier Corpration's compliance obligations.

The reporting includes information on compliance with Jathnier's obligations, compliance issues, compliance breaches and near-misses. Reports on compliance breaches outline the breach and the corrective actions planned or undertaken to ensure that the possibility of re-occurring or systemic breaches are reduced.

Full details of all Jathier compliance issues (including breaches) are retained in a central register managed by Corporate Compliance Department.

Where reasonable and appropriate, this reporting may be electronically enabled to promote efficiency.

III. Compliance Education and Training

The compliance program promotes awareness of compliance through facilitation of training and education of our people regarding Jathnier's compliance program and compliance obligations. Where appropriate, training may be tailored by or for individual business units and individuals.

Where reasonable and appropriate, this training may be electronically enabled to promote efficiency.

IV. Continuous Improvement

Jathnier's compliance program and compliance performance is regularly monitored, measured and reported.

Jathnier's compliance program is periodically reviewed by the General Manager, in consultation with the members of the Executive Management Team to ensure that the program remains efficient and effective and is appropriate to Jathnier's need. Managers may make recommendations for improvement. The results of these reviews will be reported to the ARMD (if appropriate). This will provide the Executive Management Team with a level of comfort that the Legal Compliance Framework is effective and will highlight areas within the process that can be improved. These reviews shall be carried out in addition to internal audits.

As part of continuous improvement, this policy may be amended by Management for approval by the Board.

V. Responsibilities and Authorities

In accordance with Jathnier's Code of Conduct, it is the responsibility of all Jathnier Directors and employees and all contractors working for or at Jathnier sites to comply with the lawof the Republic of the Philippines, Jathnier's contractual commitments and Jathnier's policies and procedures. (COD #4, Corporate General Policies, Rules, Regulations and Definitions)

The Board

The Jathnier Board retains the ultimate responsibility for legal and regulatory compliance and is charged with overseeing, reviewing and ensuring the effectiveness of Jathnier's compliance systems.

The Board is responsible for determining the appropriate level of compliance that the Board is willing to accept in the conduct of Jathnier's business activities.

The Board is accountable to its shareholding Ministers for Jathnier's compliance with its obligations. The Board is advised regularly on compliance related issues including any compliance breaches.

The Audit and Risk Management Department (ARMD)

The Board has established the ARMD to, amongst other things:

Review and oversee systems of risk management, internal control and legal compliance;

- Review the effectiveness of Jathnier's Legal Compliance System for identifying, monitoring and managing compliance with relevant laws, regulations and associated government policies;
- Review and if necessary make recommendations to the Executive Management on breaches of key compliance requirements; and
- Review and if necessary make recommendations to the Board on the outcomes of investigations into 'Reportable Conduct' and Jathnier's compliance with its regulatory obligations in respect of these.
- The ARMD operates and reports within the terms of the ARMD Charter endorsed by the Executive Management.

The Chief Executive Officer

The Chief Executive Officer (CEO) is accountable to the Board for ensuring implementation and management of Jathnier's compliance program. Specifically, this includes ensuring a compliance culture is promoted within Jathnier and our people adhere to this Compliance Policy.

Chief Financial Officer

- The Chief Financial Officer (CFO) is responsible for the oversight of Jathnier's compliance system implementation and operation.
- The CFO is accountable to the CEO for overseeing the compliance program to ensure:
- the ongoing effectiveness, integrity and relevance of the compliance program to Jathnier's operations;
- the compliance program accords with the requirements of Jathnier's Board; and
- to the extent relevant, the compliance program complies with principles of good corporate governance and achieves applicable standards.

It is the responsibility of the CFO (with the support of Legal, Internal Audit and Corporate Compliance) to ensure that non-compliance issues are adequately investigated and all issues are reported to appropriate parties in a timely manner.

General Manager - Corporate Services

General Manager - Corporate Services is accountable to the CFO for the implementation, review and management of Jathnier's compliance program, including associated reporting to the Executive Leadership Team and the Board.

The General Manager - Corporate Services is also accountable for:

- ensuring that awareness of compliance is promoted within Jathnier;
- ensuring that Jathnier has appropriate systems to identify, record and communicate its compliance obligations;
- ensuring that compliance obligations contained within the Jathnier Compliance Obligations Register are accurate and current;
- the active management of those compliance obligations agreed by the Board, including ensuring that appropriate controls are implemented;
- delivering (with the assistance of the Compliance and Regulatory Specialist) training and presentations to our people in relation to compliance issues; and
- providing effective advice to our people on compliance matters, including how to best comply with Jathnier's compliance systems.

For the avoidance of doubt, it is not the responsibility of the General Manager - Corporate Services to ensure compliance by Directors, employees, individual business units or contractors.

Department Managers

Each Department Manager (or other person(s) as identified by the CFO & General Manager from time to time) is accountable to the CFO for compliance obligations (both within their business units and across the Corporation) for which they are responsible. This includes:

- active management of those compliance obligations for which they are responsible;
- on-going identification, assessment, management, reporting, review and monitoring of compliance issues;
- ensuring adherence to this Compliance Policy; and
- periodic certification to the ARMD regarding compliance.

Department Managers and Supervisors

Managers and Supervisors are responsible for ensuring effective implementation and maintenance of this Compliance Policy and that all our people adhere to the associated systems and guidelines.

Managers are responsible for the regular reporting of the status of controls, compliance breaches and their improvement to the CFO & General Managerment.

Audit and Risk Management Manager

The role of the ARMD Manager (Internal Audit) is to review the adopted compliance programs against set criteria to confirm the effectiveness of the compliance controls and systems and to identify any need for improvement or change in the controls or systems.

Our people (Jathnier personnel)

Our people have a responsibility to ensure that their activities on behalf of Jathnier comply with all applicable legal and external obligations and Jathnier procedures.

Our people are required to:

- familiarise themselves with Jathnier's Compliance Policy and other policies concerning compliance with specific areas of legislation that affect their workplace activities;
- ensure that they adhere to relevant legislation and their compliance obligations;
- incorporate compliance management practices into their business units;
- perform their duties in an ethical, lawful and safe manner;
- report and escalate all compliance concerns, issues and breaches as required by the compliance program; and
- undertake training in accordance with the compliance program; and
- implement the practices learned in training provided by Jathnier.

VI. Review and Consultation (Prior to Approval)

This document is required to be reviewed by the General Manager – Corporate Services, with the assistance of the Compliance and Regulatory Specialist, annually.

VII. Communication Plan (After Approval)

This Compliance Policy will be communicated to key stakeholders using education and training as detailed above.

VIII. Definitions

ARMD Audit and Risk Management Department

CEO Chief Executive Officer

CFO Chief Financial Officer

Code Mandatory industry codes and voluntary industry codes with which Jathnier has chosen to comply.

Code of Discipline Jathnier's Board-approved Code of Discipline.

Corporation and/or Jathnier Corporation

Compliance Ensuring that the requirements of laws, regulations, by laws, Codes and organisational standards are met.

Compliance issues Acts, omissions or events relating to Jathnier's compliance obligations that, upon further investigation, may or may not be identified as a compliance breach.

Compliance breaches Acts or omissions by Jathnier resulting in the breach by Jathnier to meet its compliance obligations.

Compliance obligations The compliance obligations contained in the Jathnier Corporation's Compliance Obligations Register.

Compliance Framework Compliance framework includes this compliance policy, compliance procedures and the compliance obligations register.

Executive Management Team Chief Executive Officer, Chief Finance Offoer and General Manager

Compliance Officer Direct responsible on the effective control of legal risks in order to ensure that the law is complied with as set forth by this document.

Our People/Personnel Refers to Jathnier's directors, employees and all contractors working for or at Jathner, in your capacity as a director, employee or contractor of Jathnier.

IX. Organisational Standards

Any code of ethics, codes of discipline, good practices and charters that Jathnier may deem appropriate standards for day to day operations.

X. References (Including Information Services)

SEC Compliance Programs

BIR Corporate Regulations

FDA Compliance Programs

Local Government Compliance Programs

DOLE Regulations

XI. Implementation

All corporate officers from Chief Executive Officer, Chief Operations Officer, General Managers, Divisions Managers, Department Managers, Department and Section Supervisors, Branch/Store Supervisors and Section Lead mans, with the corporate command authority vested in them, are responsible for the expedient implementation of the Corporate Compliance Policy and its underlying Corporate General Policy, Rules and Regulations.

The manner and outcome in administration of the Corporate Compliance Policy and its underlying Corporate General Policy, Rules and Regulations are the full accountability of the personnel occupying the job positions and function stated on the first paragraph.

Approved for Implementation:

DANTEL. COMEDIDO
President

MELINA G. COMEDIDO
Cheif Executive Officer